

Blame Your Limbic System

THE HUMAN LIMBIC system controls emotions, behaviors, and long-term memory (among other functions). The amygdala is the part of the limbic system that processes emotions. Small, almond-shaped, and deep inside your brain, it also links emotions to memories, learning, and your senses.

When a threat is detected, it directs your hypothalamus to produce hormones, including cortisol and adrenaline. You are more familiar with it by its informal name: fight or flight.

This is enormously important to investors. “To the extent you succeed in finance, you succeed by suppressing the limbic system, your system 1, the very fast-moving emotional system. If you cannot suppress that, you are going to die poor.”^{[304](#)}

So says Dr. William J. Bernstein, PhD, MD, a retired neurologist, principal in the money management firm Efficient Frontier Advisors, and author of several bestselling books on finance.^{[305](#)}

In *The Delusions of Crowds*, he explains why the human brain’s evolutionary development leads us astray in modern capital markets.^{[306](#)} In his view, “Humans are the Apes that tell stories, imitate others, and seek status.” This combination ultimately leads to group dynamics where entire populations become deeply entrenched in a belief system that, before revealed as false, runs amuck.

Nowhere in the modern world do we see the effects of our emotional behavior more clearly than in markets. Our emotions lead us to be overconfident when we should be humble, panicked when we should be circumspect, and deeply engaged in seeking information that confirms (rather than disconfirms) our preexisting beliefs.

The consequences range from witch burnings to financial ruin. In the